

Murata Manufacturing (6981)

Becoming a top AI stock; raising our price target

We raise our earnings forecasts, raise our end-December 2026 price target from ¥7,000 to ¥15,200, and maintain our Overweight rating. While we previously expected improved earnings momentum due to supply/demand constraints for MLCCs, we now expect significantly stronger earnings growth than before on factors such as faster-than-expected demand growth for MLCCs for AI servers, improved mix and marginal profit margins on increased demand for cutting-edge products, and a prolonged period of tight supply/demand due to higher-than-expected demand for AI server applications. Given that the share price rose 2.9x from April 1 to June 1 (TOPIX +4.2%), we think the pace of share price gains will slow, but if profitability improves from 2H FY2026 into FY2027, we think the share price could start to rise again.

- Earnings forecasts:** We raise our operating profit forecasts to reflect FY2025 results, future demand trends and mix improvement for MLCCs for AI servers, and prolonged tightness in the MLCC market. We move our forecasts from ¥383.8 billion to ¥411.7 billion in FY2026 (guidance: ¥380 billion; Bloomberg consensus: ¥397.7 billion), from ¥568 billion to ¥672 billion in FY2027 (Bloomberg consensus: ¥508.4 billion), and from ¥750.2 billion to ¥1.0104 trillion in FY2028 (¥659.5 billion), and we introduce forecasts of ¥1.2670 trillion in FY2029 and ¥1.5672 trillion in FY2030.
- Key points going forward:** (1) Utilization status: We expect MLCC industry utilization to finally exceed 90% in April-June 2026. Based on past cycles, an operating rate above 90% should significantly reduce downward price pressure from customers. We expect price declines to stabilize as early as Jul-Sep, or at the latest from Oct-Dec onward. In early spring, concerns about MLCC supply rose among IT customers other than AI server-related ones, but now concerns about MLCC procurement risk are beginning to emerge among automotive OEMs/Tier 1 suppliers as well. (2) Price increases due to concerns on prolonged supply/demand constraints and the possibility of smaller, higher capacity products other than for AI servers: It is difficult for major MLCC manufacturers to increase capacity more than 20% in the overall industry due to the high weighting of in-house production equipment. In addition, as plant space itself will start to run out from 2028 and MLCC manufacturers may raise prices, customers could propose price increases to secure supply, or try and secure supply through smaller, larger capacity products. (3) Expect mix improvement from increasing demand for cutting-edge MLCCs for AI servers: For AI servers, demand for 1,005-size/47uF capacitors using side-forming, small-diameter barium titanate is expected to increase significantly from the latter half of 2026 to 2027-28. We think the product is likely to have a very high price, which, in addition to its impact on sales, should lead to further growth in the marginal profit margin. We expect this to accelerate profitability improvements from 2H FY2026 onward.

Overweight

6981.T, 6981.JP

Price (12 Jun 26): ¥8,556

▲ Price Target (Dec-26): ¥15,200

Prior (Dec-26): ¥7,000

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Key Changes (FYE Mar)

	Prev	Cur	Δ
Adj. EPS - 27E (¥)	162.71	177.11	8.9%
Adj. EPS - 28E (¥)	238.58	286.15	19.9%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	96	78	52	74	65
Growth	43	49	65	78	25
Momentum	12	23	85	92	72
Quality	61	54	74	72	36
Low Vol	69	61	58	18	5
ESGQ	18	3	18	81	96

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 15 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	163.6%	40.8%	130.0%	299.9%
Rel	149.7%	40.5%	123.6%	260.4%

Company Data

Shares O/S (mn)	1,862
52-week range (¥)	11,125-2,019
Market cap (\$ bn)	99.6
Exchange rate	159.93
Free float (%)	89.8%
3M ADV (mn)	18.42
3M ADV (\$ mn)	848.4
Volatility (90 Day)	76
Index	TOPIX
BBG ANR (Buy Hold Sell)	16 4 0

Key Metrics (FYE Mar)

¥ in millions	2026/3A	2027/3E	2028/3E	2029/3E
Financial Estimates				
Revenue	1,830,856.0	1,993,576.1	2,351,582.1	2,773,707.5
EBITDA	460,047	589,709	891,990	1,270,371
EBIT	281,835.0	411,708.9	671,990.2	1,010,371.1
Net income	233,920	317,082	512,293	766,078
Reported EPS	128.5	177.1	286.2	427.9
BBG EPS	119.98	172.17	219.24	-
Cashflow from operations	357,325	424,740	570,215	832,317
FCFF	109,547	167,240	262,715	464,817
Margins and Growth				
Revenue Growth Y/Y (%)	5.0%	8.9%	18.0%	18.0%
EBIT margin	15.4%	20.7%	28.6%	36.4%
EBIT Growth	0.8%	46.1%	63.2%	50.4%
EBITDA margin	25.1%	29.6%	37.9%	45.8%
EBITDA Growth Y/Y (%)	1.5%	28.2%	51.3%	42.4%
Net margin	12.8%	15.9%	21.8%	27.6%
Fully Diluted EPS growth	2.4%	37.8%	61.6%	49.5%
Ratios				
Effective Tax Rate	24.3%	25.0%	25.0%	25.0%
Interest cover	-	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	8.8%	11.6%	17.4%	22.4%
Valuation				
FCFF yield	0.7%	1.1%	1.7%	3.0%
Dividend yield	0.8%	0.8%	1.0%	1.2%
EV/Revenue	2.4	7.9	6.7	5.6
EV/EBITDA	9.5	26.8	17.6	12.1
P/E	66.6	48.3	29.9	20.0

Summary Investment Thesis and Valuation

Investment Thesis

Demand for MLCCs used in AI server applications has expanded rapidly, and we expect this to lead to tight supply/demand conditions for MLCCs in general from FY2026. We therefore expect the pace of MLCC price declines to slow from 2H FY2026. We expect stabilization of prices, increased demand in AI server applications, and mix improvement to accelerate earnings momentum through FY2027.

Valuation

We base our December 2026 price target of ¥15,200 on our FY2029 EPS estimate of ¥541 and a P/E of 28x, derived from the Bloomberg consensus-based sector average P/E of 20x as of June 10 and the stock's sector-relative P/E of 1.4x based on Bloomberg consensus estimates during the two previous MLCC cycle peaks in 2017–18 and 2020–21.

We based our previous December 2026 price target of ¥7,000 on our FY2028 EPS estimate of ¥314 and a P/E of 22x, derived from the Bloomberg consensus-based sector average P/E of 15.9x as of April 21 and the stock's sector-relative P/E of 1.4x based on two-year forward Bloomberg consensus estimates during the two previous MLCC cycle peaks in 2017–18 and 2020–21.

Performance Drivers

Market	25%
Sector	19%
Macro	1%
Style	6%
Idiosyn.	49%

Factors	6M Corr	1Y Corr
Market: MSCI Japan	0.54	0.50
Sect: Technology	0.53	0.50
Macro:		
MSCI ACWI ex Japan	0.37	0.23
Japan Generic Govt 10Y Yield	-0.21	-0.13
Crude Oil	-0.26	-0.13
Quant Styles:		
Value	-0.37	-0.32
LowVol	-0.33	-0.31
Size	0.32	0.31

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

MLCC sales estimates

Our forecasts for Murata's MLCC sales previously assumed supply/demand tightening from Apr-Jun onward, price stabilization through 2H FY2026, and 10-15% growth in MLCC sales led by AI servers. However, we are significantly raising our earnings forecasts for FY2027 onward.

We previously forecast annual growth of around 70-80% in MLCC sales for AI applications from FY2026 to FY2028. Our new forecasts factor in stronger demand for AI accelerators (driven by higher volumes and an increase in thermal design power (TDP) GW on higher TDP; Figure 2) and an increase in average selling prices from the shift to 1005 size/22uF and 1005 size/47uF products in FY2027-FY2028 (current models are mainly 10/22uF in 1005 size equivalents). We now expect AI server MLCC sales to rise sharply from FY2026 to FY2028, with YoY growth of 2.4x in FY2026 and FY2027 and 1.9x in FY2028. We estimate the weighting of AI server MLCCs will increase from 5-6% in FY2025 to just under 40% in FY2028.

Based on this, we expect overall MLCC sales to grow 15% YoY in FY2026 and over 25% YoY from FY2026 to FY2027. Although the positive impact of higher ASP from generational change will fade in FY2029-30, we still expect MLCC sales to grow around 20% YoY, supported by continued growth in TDP GW in AI accelerators.

We estimate the overall MLCC market was \$10-12 billion in 2025, and believe server-related sales (including AI servers) could reach \$9-10 billion by FY2028. We expect Murata to fully benefit from growing demand for AI MLCCs given its advanced manufacturing technology, quality, and leading product roadmap.

How much can capacity expansion pace be accelerated? Factory space constraints a risk in FY2028

We believe it will be difficult for the industry to increase MLCC production capacity (in capacitance terms) by more than 20% given the current status of in-house production equipment. We expect tight supply/demand to persist at least through FY2028. We also see a high risk of factory space constraints after FY2028, which could further heighten concerns about supply disruptions and shortages. Although we expect growth in AI server MLCC sales to slow after FY2029, we estimate demand will expand nearly 20% in sales terms, led by automotive and AI server applications. We believe tight supply/demand is likely to persist unless investment in AI data centers slows sharply.

We expect Murata's baseline MLCC production capacity to increase by 10% annually, as management plans to boost capacitance capacity by an additional 10-15% through investments in side-forming processes through FY2027. For FY2028 and beyond, it is unclear how much factory space can be secured and what level of capacity expansion is possible, but our sales forecasts assume that annual capacity increases of 15-20% can be sustained.

Expect higher marginal profitability from growth in advanced MLCCs

We expect Murata's margins on MLCCs to improve sharply, thanks to sales growth in AI server MLCCs and higher marginal profitability from stronger demand for advanced products. We expect the average selling price of AI server MLCCs to rise 2-3x over the next two years, reflecting a transition to advanced, higher-priced products and greater adoption of compact, high-capacitance MLCCs. While investors are focused on the potential for price hikes, we believe the improvement in marginal profitability from

generational change in AI server MLCCs is still underappreciated. We believe 1005 size/47uF products are likely to command very high prices and anticipate strong growth in volume, so the marginal profitability contribution from MLCC sales growth could be much greater than in the past.

Possibility of price hikes and shift to compact, high-capacitance products outside AI servers

We currently do not factor into our estimates the possibility of price hikes, but believe the potential for tighter supply/demand conditions in 2027-28 leaves ample room for price increases. Up until now, we have heard many comments not only from Murata but also from the MLCC industry overall denying the possibility of price hikes, but we note a gradual shift in tone at the operational level in our channel checks and see an increasing likelihood of price increases in the future. We think any price hikes will be implemented on a case-by-case basis rather than across the board. Considering the prospects for tight supply/demand in 2027-28, we believe customers are increasingly likely to accept higher prices in order to secure supply. We also expect design changes to be made to increase the use of compact, high-capacitance MLCCs outside AI servers to secure supply and alleviate capacity bottlenecks. In any case, we see more upside potential for the profitability of MLCC manufacturers. MLCC manufacturers appear to be facing complex decisions about the extent to which they allocate capacity to AI servers in the future and how much they reduce supply for other applications.

Valuation

Based on our estimates, the stock is trading at P/Es of 21x for FY2028 and 17x for FY2029. We calculate our price target of ¥15,200 by applying a P/E of 28x (derived from the Bloomberg consensus-based sector average P/E of 20x as of June 10 and the stock's sector-relative P/E of 1.4x based on Bloomberg consensus estimates during the two previous MLCC cycle peaks) to our FY2029 EPS estimate of ¥541. While it may seem early to factor in FY2029 earnings at this stage, we believe that if tight supply/demand and improved profitability due to a better mix are confirmed during FY2026, further share price upside is possible.

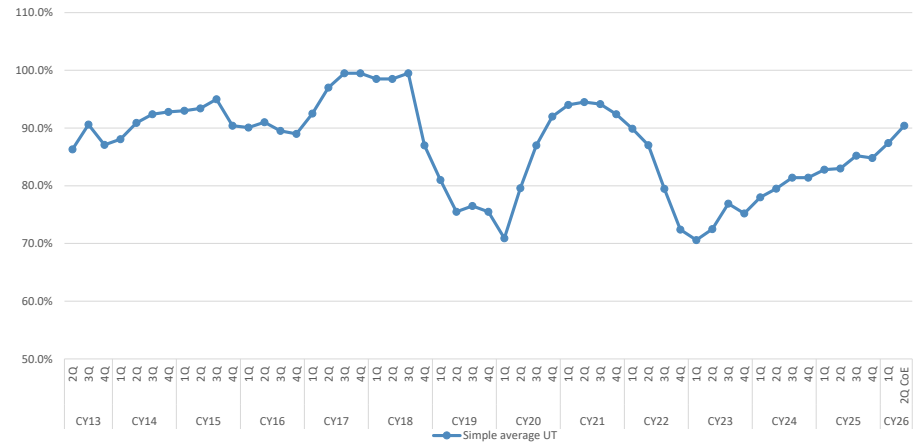
Figure 1: MLCC Valuation Comp

Ticker	Company	Share Price		Return	JPM Rating	Market Capitalization	P/E		P/E Consensus(BBG)		EV/EBITDA		P/B		ROE		Price YTD
		(LC)	(LC)				FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	
6981	Murata Mfg.	8,967	15,200	69.5%	OW	(JPY mn)	50.63	31.34	51.88	40.68	29.53	19.39	5.81	5.14	11.57%	17.42%	178.98%
6976	Taiyo Yuden	16,630	22,500	35.3%	OW	(JPY mn)	94.59	41.84	85.26	54.79	28.21	18.06	5.83	5.23	6.86%	14.42%	375.30%
6762	TDK	3,561	5,500	54.5%	OW	(JPY mn)	30.08	23.62	29.24	25.40	12.10	10.04	2.90	2.69	9.94%	11.80%	62.67%
009150 KS Equity	SEMCO	1,808,000	-	-	-	(KRW mn)	106.57	60.97	106.57	60.97	69.05	69.05	12.96	10.87	12.74%	18.50%	607.63%
2327 TT Equity	Yageo	842	-	-	-	(TWD mn)	46.93	32.71	46.93	32.71	43.44	43.44	8.43	7.01	19.32%	23.68%	264.50%
Simple Average		-	-	-	-	162,776,101	65.76	38.09	63.97	42.91	36.47	32.00	7.19	6.19	12.09%	17.16%	297.82%
TWSE	TAIEX	43,149	NA	-	-	(TWD mn)	21.41	17.15	21.41	17.15	18.46	18.46	4.38	3.90	20.07%	22.17%	49.58%
TPX	TOPIX	3,830	NA	-	-	(JPY mn)	17.30	15.55	17.30	15.55	8.99	8.99	1.69	1.59	9.46%	10.08%	13.59%
KOSPI	KOSPI	7,764	NA	-	-	(KRW mn)	8.69	6.61	8.69	6.61	11.11	11.11	2.07	1.64	23.66%	24.66%	85.35%

Source: Company reports, Bloomberg Finance L.P. consensus estimates, and J.P. Morgan estimates.

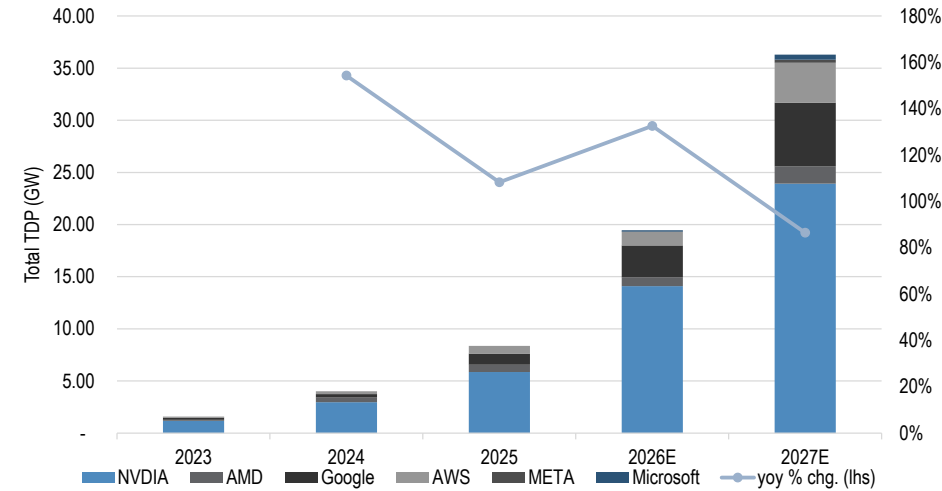
Note: Samsung Electro-Mechanics (SEMCO) is covered by Jay Kwon, and Yageo is covered by Jerry Tsai. Ratings and price targets are from J.P. Morgan for Japanese MLCC makers. For other data, the three Japanese MLCC companies are based on J.P. Morgan estimates, and both SEMCO and Yageo are based on Bloomberg consensus. The share prices and Bloomberg consensus are as of the market close on June 11, 2026.

Figure 2: Utilization rates in the MLCC industry



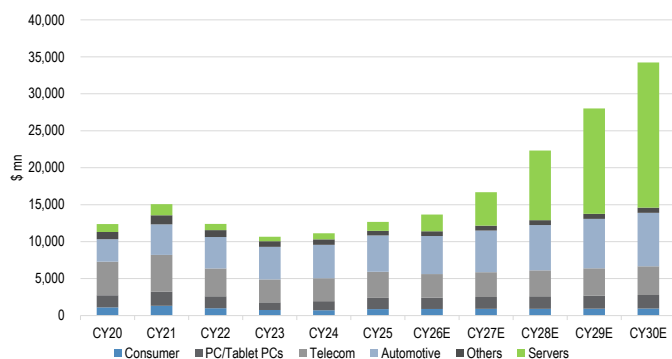
Source: Company data, J.P. Morgan
Note: Includes Murata Mfg., Samsung Electro-Mechanics (SEMCO), Taiyo Yuden, TDK, and Yageo.

Figure 3: Total TDP GW outlook for AI accelerators



Source: J.P. Morgan estimates
Note: GW (Gigawatt) calculated based on our Taiwan tech team's volume forecasts and each product's TDP (Thermal Design Power).

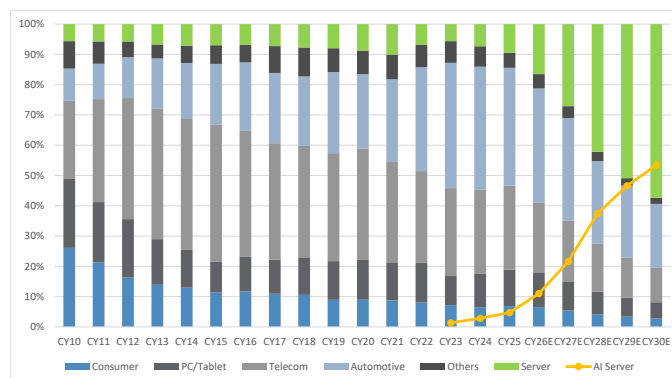
Figure 4: MLCC industry sales by application



Source: J.P. Morgan estimates.

Note: Both actual and estimated figures are J.P. Morgan estimates.

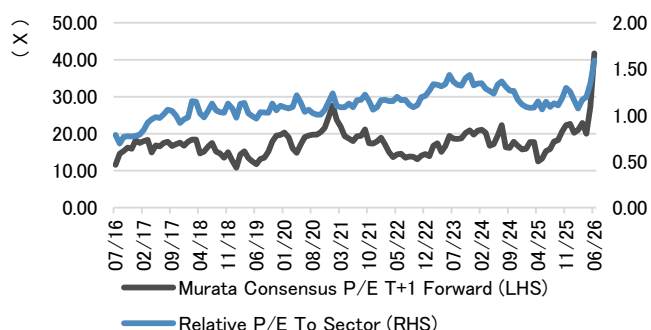
Figure 5: MLCC industry sales breakdown forecast by application



Source: J.P. Morgan estimates.

Note: Both actual and estimated figures are J.P. Morgan estimates.

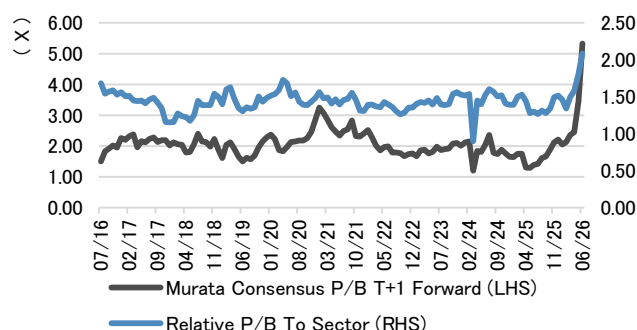
Figure 6: 12-Month Forward Consensus P/E, Sector Relative P/E



Source: Bloomberg Finance L.P. estimates, J.P. Morgan.

Note: Share price and consensus as of Jun 9.

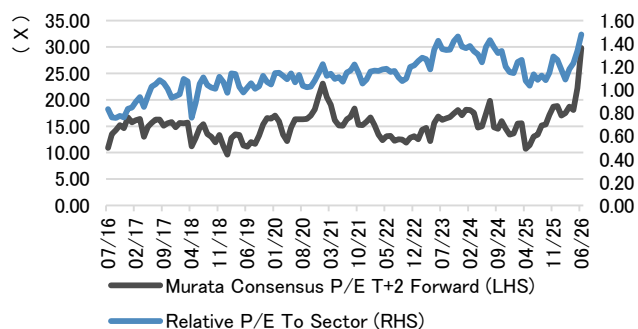
Figure 7: 12-Month Forward Consensus P/B, Sector Relative P/B



Source: Bloomberg Finance L.P. estimates, J.P. Morgan.

Note: Share price and consensus as of Jun 9.

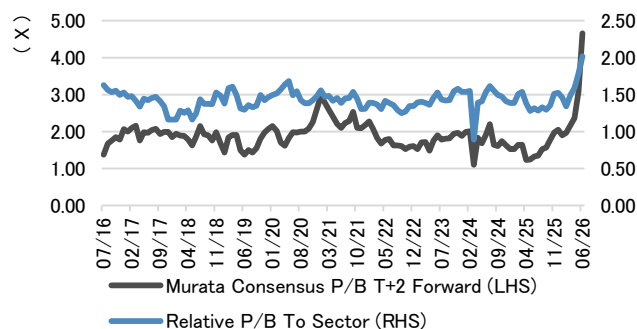
Figure 8: 24-Month Forward Consensus P/E, Sector Relative P/E



Source: Bloomberg Finance L.P. estimates, J.P. Morgan.

Note: Share price and consensus as of Jun 9.

Figure 9: 24-Month Forward Consensus P/B, Sector Relative P/B



Source: Bloomberg Finance L.P. estimates, J.P. Morgan.

Note: Share price and consensus as of Jun 9.

Figure 10: Earnings Forecast Summary

Murata Mfg. 6981	Sales		Operating profits		Pretax profits		Net profits		EPS	BPS	DPS	Capex	Dep.	R&D	
	JPY mn	YoY	JPY mn	YoY	OPM	JPY mn	YoY	JPY mn	YoY	JPY	JPY	JPY	JPY mn	JPY mn	JPY mn
FY3/25	1,743,352	6.29%	279,702	29.82%	16.04%	304,404	27.15%	233,818	29.30%	125.5	1,386	57	180,471	173,365	149,274
FY3/26	1,830,856	5.02%	281,835	0.76%	15.39%	308,643	1.39%	233,920	0.04%	128.5	1,494	65	247,778	178,212	158,870
FY3/27E	JPM New 1,993,576	8.89%	411,709	46.08%	20.65%	421,709	36.63%	317,082	35.55%	177.1	1,543	70	250,000	178,000	168,000
FY3/28E	JPM New 2,351,582	17.96%	671,990	63.22%	28.58%	681,990	61.72%	512,293	61.56%	286.2	1,744	85	300,000	220,000	176,000
FY3/29E	JPM New 2,773,708	17.95%	1,010,371	50.36%	36.43%	1,020,371	49.62%	766,078	49.54%	427.9	2,073	100	360,000	260,000	200,000
FY3/30E	JPM New 3,188,285	14.95%	1,266,960	25.40%	39.74%	1,276,960	25.52%	958,520	25.12%	541.4	2,359	110	400,000	300,000	240,000
FY3/31E	JPM New 3,666,222	14.99%	1,567,198	23.70%	42.75%	1,577,198	23.51%	1,183,698	23.49%	681.5	2,678	120	440,000	340,000	108,000
FY3/27E	JPM Old 1,984,896	9.55%	383,844	38.56%	19.34%	393,844	31.59%	296,183	38.53%	162.7	1,522	62	240,000	180,000	156,000
FY3/28E	JPM Old 2,204,865	11.08%	567,984	47.97%	25.76%	577,984	46.75%	434,288	46.63%	238.6	1,695	66	240,000	190,000	160,000
FY3/29E	JPM Old 2,432,463	22.55%	750,248	95.46%	30.84%	760,248	93.03%	570,986	92.78%	313.7	1,933	76	260,000	210,000	164,000
FY3/27E	CoE 26/4 1,960,000	7.05%	380,000	34.83%	19.39%	390,000	26.36%	293,000	25.26%	161.0	-	70	250,000	178,000	167,000
FY3/27E	BBG 1,980,945	8.20%	397,719	41.12%	20.08%	412,181	33.55%	312,082	33.41%	171.8	1,556	68	236,929	176,800	-
FY3/28E	BBG 2,231,147	12.63%	508,394	27.83%	22.79%	522,922	26.87%	395,291	26.66%	217.6	1,705	78	242,443	182,800	-
FY3/29E	BBG 2,576,607	15.48%	659,533	29.73%	25.60%	680,575	30.15%	508,343	28.60%	304.3	1,949	91	252,900	199,167	-
FY3/26	1H 902,778	2.18%	165,136	4.40%	18.29%	174,782	6.56%	132,379	1.58%	72.7	1,427	30	75,414	84,580	77,995
	2H 928,078	7.93%	116,699	-3.98%	12.57%	133,861	-4.64%	101,541	-1.89%	55.8	1,494	35	172,364	93,632	80,875
FY3/27	1HE 964,658	6.85%	192,362	16.49%	19.94%	197,362	12.92%	148,422	12.12%	82.9	-	-	79,000	88,000	84,000
	2HE 1,028,918	10.87%	219,346	87.96%	21.32%	224,346	67.60%	168,660	66.10%	94.2	-	-	171,000	90,000	84,000
FY3/28	1HE 1,118,784	15.98%	291,871	51.73%	26.09%	296,871	50.42%	223,054	50.28%	124.6	-	-	150,000	110,000	88,000
	2HE 1,232,799	19.82%	380,119	73.30%	30.83%	385,119	71.66%	289,239	71.49%	161.6	-	-	150,000	110,000	88,000
FY3/29	1HE 1,327,630	18.67%	459,340	57.38%	34.60%	464,340	56.41%	348,655	56.31%	194.7	-	-	180,000	130,000	100,000
	2HE 1,446,077	17.30%	551,031	44.96%	38.11%	556,031	44.38%	417,423	44.32%	233.2	-	-	180,000	130,000	100,000
FY3/27	1HE 960,000	6.34%	177,000	7.18%	18.44%	182,000	4.13%	137,000	3.49%	75.3	-	35	79,000	88,000	84,000
	2HE 1,000,000	7.75%	203,000	73.95%	20.30%	208,000	55.39%	156,000	53.63%	85.7	-	35	171,000	90,000	83,000
FY3/26	1Q 416,154	-1.32%	61,621	-7.16%	14.81%	62,322	-25.42%	49,714	-25.09%	27.3	1,384	-	34,715	41,950	39,819
	2Q 486,624	5.38%	103,515	12.77%	21.27%	112,460	39.77%	82,665	29.25%	45.4	1,427	-	40,699	42,630	38,176
	3Q 487,454	4.34%	37,876	-50.16%	8.10%	49,509	-52.64%	24,969	-64.83%	13.7	1,436	-	88,802	44,316	39,741
	4Q 460,624	11.84%	78,823	73.08%	17.11%	84,352	135.31%	76,572	135.64%	42.1	1,494	-	83,562	49,316	41,134
FY3/27	1QE 465,206	11.79%	86,451	40.30%	18.58%	90,451	45.14%	68,038	36.86%	38.0	-	-	39,500	44,000	42,000
	2QE 499,452	2.64%	105,911	2.31%	21.21%	106,911	-4.93%	80,383	-2.76%	44.9	-	-	39,500	44,000	42,000
	3QE 518,712	10.97%	114,155	201.39%	22.01%	118,155	138.65%	88,817	255.71%	49.6	-	-	86,000	45,000	42,000
	4QE 510,206	10.76%	105,191	33.45%	20.62%	106,191	25.89%	79,843	4.27%	44.6	-	-	85,000	45,000	42,000
FY3/28	1QE 535,287	15.06%	129,855	50.21%	24.26%	133,855	47.99%	100,591	47.84%	56.2	-	-	75,000	55,000	44,000
	2QE 583,496	16.83%	162,017	52.97%	27.77%	163,017	52.48%	122,463	52.35%	68.4	-	-	75,000	55,000	44,000
	3QE 613,203	18.22%	187,156	63.95%	30.52%	191,156	61.78%	143,567	61.64%	80.2	-	-	75,000	55,000	44,000
	4QE 619,596	21.44%	192,963	83.44%	31.14%	193,963	82.65%	145,672	82.45%	81.4	-	-	75,000	55,000	44,000
FY3/29	1QE 651,113	21.64%	220,772	70.01%	33.91%	224,772	67.92%	168,779	67.79%	94.3	-	-	90,000	65,000	50,000
	2QE 676,517	15.94%	238,568	47.25%	35.26%	239,568	46.96%	179,876	46.88%	100.5	-	-	90,000	65,000	50,000
	3QE 729,627	18.99%	278,992	49.07%	38.24%	282,992	48.04%	212,444	47.98%	118.7	-	-	90,000	65,000	50,000
	4QE 716,450	15.63%	272,039	40.98%	37.97%	273,039	40.77%	204,979	40.71%	114.5	-	-	90,000	65,000	50,000

Source: Bloomberg Finance L.P. estimates, J.P. Morgan.

Note: Share price and consensus as of Jun 9.

Figure 12: Sales and OP Forecasts by Segment (Quarterly)

FY	FY3/2026				FY3/2027E				FY3/2028E				FY3/2029E			
JPY mn	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
	JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM	JPM
Sales	416,154	486,624	467,454	460,624	465,206	499,452	518,712	510,206	535,287	583,496	613,203	619,596	651,113	676,517	729,627	716,450
yoy % chg.	-1.3%	5.4%	4.3%	11.8%	11.8%	2.6%	11.0%	10.8%	15.1%	16.8%	18.2%	21.4%	21.6%	15.9%	19.0%	15.6%
qoq % chg.	1.0%	16.9%	-3.9%	-1.5%	1.0%	7.4%	3.9%	-1.6%	4.9%	9.0%	5.1%	1.0%	5.1%	3.9%	7.9%	-1.8%
Gross profits	172,660	208,192	194,867	199,107	198,451	217,911	226,155	217,191	250,855	283,017	308,156	313,963	353,772	371,568	411,992	405,039
as a % of sales	41.5%	42.8%	41.7%	43.2%	42.7%	43.6%	43.6%	42.6%	46.9%	48.5%	50.3%	50.7%	54.3%	54.9%	56.5%	56.5%
SGA	71,354	66,926	73,346	85,021	71,000	71,000	71,000	71,000	72,000	72,000	72,000	72,000	74,000	74,000	74,000	74,000
as a % of sales	17.1%	13.8%	15.7%	18.5%	15.3%	14.2%	13.7%	13.9%	13.5%	12.3%	11.7%	11.6%	11.4%	10.9%	10.1%	10.3%
R&D	39,819	38,176	39,741	41,134	42,000	42,000	42,000	42,000	50,000	50,000	50,000	50,000	60,000	60,000	60,000	60,000
as a % of sales	9.6%	7.8%	8.5%	8.9%	9.0%	8.4%	8.1%	8.2%	9.3%	8.6%	8.2%	8.1%	9.2%	8.9%	8.2%	8.4%
Other income	1,408	2,270	5,176	8,659	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000
Other expense	1,274	1,845	49,080	2,788	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000
Operating profits	61,621	103,515	37,876	78,823	86,451	105,911	114,155	105,191	129,855	162,017	187,156	192,963	220,772	238,568	278,992	272,039
yoy % chg.	-7.2%	12.8%	-50.2%	73.1%	40.3%	2.3%	201.4%	33.5%	50.2%	53.0%	63.9%	83.4%	70.0%	47.2%	49.1%	41.0%
qoq % chg.	35.3%	68.0%	-63.4%	108.1%	9.7%	22.5%	7.8%	-7.9%	23.4%	24.8%	15.5%	3.1%	14.4%	8.1%	16.9%	-2.5%
as a % of sales	14.8%	21.3%	8.1%	17.1%	18.6%	21.2%	22.0%	20.6%	24.3%	27.8%	30.5%	31.1%	33.9%	35.3%	38.2%	38.0%
Pretax profits	62,322	112,460	49,509	84,352	90,451	106,911	118,155	106,191	133,855	163,017	191,156	193,963	224,772	239,568	282,992	273,039
as a % of sales	15.0%	23.1%	10.6%	18.3%	19.4%	21.4%	22.8%	20.8%	25.0%	27.9%	31.2%	31.3%	34.5%	35.4%	38.8%	38.1%
Net Profits	49,714	82,665	24,969	76,572	68,038	80,383	88,817	79,843	100,591	122,463	143,567	145,672	168,779	179,876	212,444	204,979
as a % of sales	11.9%	17.0%	5.3%	16.6%	14.6%	16.1%	17.1%	15.6%	18.8%	21.0%	23.4%	23.5%	25.9%	26.6%	29.1%	28.6%
R&D	39,819	38,176	39,741	41,134	42,000	42,000	42,000	42,000	44,000	44,000	44,000	44,000	50,000	50,000	50,000	50,000
Depreciation	41,950	42,630	44,316	49,316	44,000	44,000	45,000	45,000	55,000	55,000	55,000	55,000	65,000	65,000	65,000	65,000
Capex	34,715	40,699	88,802	83,562	39,500	39,500	86,000	85,000	75,000	75,000	75,000	75,000	90,000	90,000	90,000	90,000
Inventory	489,202	488,608	501,149	520,472	-	-	-	-	-	-	-	-	-	-	-	-
Sales by products																
Component	269,818	295,830	295,493	298,593	311,385	330,403	341,625	343,588	365,671	394,811	424,261	441,144	471,349	478,797	531,686	529,641
yoy % chg.	7.2%	10.9%	11.7%	19.4%	15.4%	11.7%	15.6%	15.1%	17.4%	19.5%	24.2%	28.4%	28.9%	21.3%	25.3%	20.1%
qoq % chg.	7.9%	9.6%	-0.1%	1.0%	4.3%	6.1%	3.4%	0.6%	6.4%	8.0%	7.5%	4.0%	6.8%	1.6%	11.0%	-0.4%
Capacitor	217,330	237,572	239,114	242,402	250,596	264,276	280,400	283,630	300,018	323,394	358,138	376,390	400,445	401,667	460,273	459,707
yoy % chg.	6.9%	11.0%	12.2%	20.3%	15.3%	11.2%	17.3%	17.0%	19.7%	22.4%	27.7%	32.7%	33.5%	24.2%	28.5%	22.1%
qoq % chg.	7.9%	9.3%	0.6%	1.4%	3.4%	5.5%	6.1%	1.2%	5.8%	7.8%	10.7%	5.1%	6.4%	0.3%	14.6%	-0.1%
Inductor, EMI filter	52,488	58,258	56,379	56,191	60,789	66,127	61,225	59,958	65,652	71,417	66,123	64,754	70,904	77,130	71,413	69,935
yoy % chg.	8.7%	10.4%	9.5%	15.3%	15.8%	13.5%	8.6%	6.7%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
qoq % chg.	7.7%	11.0%	-3.2%	-0.3%	8.2%	8.8%	-7.4%	-2.1%	9.5%	8.8%	-7.4%	-2.1%	9.5%	8.8%	-7.4%	-2.1%
Device & Module	142,634	187,131	168,241	157,960	150,821	165,549	173,587	163,618	166,616	185,186	185,442	175,451	176,764	194,220	194,441	183,809
yoy % chg.	-14.7%	-2.2%	-6.6%	-0.4%	5.7%	-11.5%	3.2%	3.6%	10.5%	11.9%	6.8%	7.2%	6.1%	4.9%	4.9%	4.8%
qoq % chg.	-10.0%	31.2%	-10.1%	-6.1%	-4.5%	9.8%	4.9%	-5.7%	1.8%	11.1%	0.1%	-5.4%	0.7%	9.9%	0.1%	-5.5%
HF and Comm Device	82,075	120,606	102,224	89,924	87,547	100,582	101,577	91,640	91,374	108,167	109,164	99,208	98,031	113,621	114,621	104,024
yoy % chg.	-17.4%	-4.5%	-15.4%	-7.4%	6.7%	-16.6%	-0.6%	1.9%	4.4%	7.5%	7.5%	8.3%	7.3%	5.0%	5.0%	4.9%
qoq % chg.	-15.4%	46.9%	-15.2%	-12.0%	-2.6%	14.9%	1.0%	-9.8%	-0.3%	18.4%	0.9%	-9.1%	-1.2%	15.9%	0.9%	-9.2%
Energy and Power	35,756	39,140	38,948	40,219	35,650	35,650	43,400	43,400	46,500	46,500	46,500	46,500	48,825	48,825	48,825	48,825
yoy % chg.	-16.1%	-4.7%	12.4%	7.6%	-0.3%	-8.9%	11.4%	7.9%	30.4%	30.4%	7.1%	7.1%	5.0%	5.0%	5.0%	5.0%
qoq % chg.	-4.3%	9.5%	-0.5%	3.3%	-11.4%	0.0%	21.7%	0.0%	7.1%	0.0%	0.0%	0.0%	5.0%	0.0%	0.0%	0.0%
Functional Device	24,803	27,385	27,069	27,817	27,624	29,316	28,610	28,578	28,742	30,519	29,777	29,744	29,908	31,773	30,995	30,960
yoy % chg.	-1.6%	14.2%	10.3%	15.5%	11.4%	7.1%	5.7%	2.7%	4.0%	4.1%	4.1%	4.1%	4.1%	4.1%	4.1%	4.1%
qoq % chg.	3.0%	10.4%	-1.2%	2.8%	-0.7%	6.1%	-2.4%	-0.1%	0.6%	6.2%	-2.4%	-0.1%	0.6%	6.2%	-2.4%	-0.1%
Others	3,702	3,663	3,720	4,071	3,000	3,500	3,500	3,000	3,000	3,500	3,500	3,000	3,000	3,500	3,500	3,000
yoy % chg.	26.0%	2.2%	10.3%	28.3%	-19.0%	-4.4%	-5.9%	-26.3%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
qoq % chg.	16.6%	-1.1%	1.6%	9.4%	-26.3%	16.7%	0.0%	-14.3%	0.0%	16.7%	0.0%	-14.3%	0.0%	16.7%	0.0%	-14.3%
Total Sales	416,154	486,624	467,454	460,624	465,206	499,452	518,712	510,206	535,287	583,496	613,203	619,596	651,113	676,517	729,627	716,450
yoy % chg.	-1.3%	5.4%	4.3%	11.8%	11.8%	2.6%	11.0%	10.8%	15.1%	16.8%	18.2%	21.4%	21.6%	15.9%	19.0%	15.6%
qoq % chg.	1.0%	16.9%	-3.9%	-1.5%	1.0%	7.4%	3.9%	-1.6%	4.9%	9.0%	5.1%	1.0%	5.1%	3.9%	7.9%	-1.8%
Operating profits																
Component	71,170	86,493	76,384	81,085	93,710	105,271	113,301	109,767	132,266	155,343	180,280	191,459	219,170	228,077	268,312	267,205
yoy % chg.	-3.4%	12.6%	11.1%	45.2%	31.7%	21.7%	48.3%	35.4%	41.1%	47.6%	59.1%	74.4%	65.7%	46.8%	48.8%	39.6%
qoq % chg.	27.4%	21.5%	-11.7%	6.2%	15.6%	12.3%	7.6%	-3.1%	20.5%	17.4%	16.1%	6.2%	14.5%	4.1%	17.6%	-0.4%
OPM	26.4%	29.2%	25.8%	27.2%	30.1%	31.9%	33.2%	31.9%	36.2%	39.3%	42.5%	43.4%	46.5%	47.6%	50.5%	50.5%
Device & Module	-8,014	18,333	-36,432	-378	-6,059	1,840	2,055	-3,376	-1,212	7,874	8,076	2,704	2,803	11,691	11,880	6,034
yoy % chg.	-	16.6%	-	-	-	-90.0%	-	-	-	328.0%	293.1%	-	-	48.5%	47.1%	123.1%
qoq % chg.	-	-	-	-	-	-	11.7%	-	-	-	2.6%	-66.5%	3.6%	317.2%	1.6%	-49.2%
OPM	-5.6%	9.8%	-21.7%	-0.2%	-4.0%	1.1%	1.2%	-2.1%	-0.7%	4.3%	4.4%	1.5%	1.6%	6.0%	6.1%	3.3%
Others	-1,535	-1,311	-2,076	-1,884	-1,200	-1,200	-1,200	-1,200	-1,200	-1,200	-1,200	-1,200	-1,200	-1,200	-1,200	-1,200
yoy % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
qoq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
OPM	-41.5%	-35.8%	-55.8%	-46.3%	-40.0%	-34.3%	-34.3%	-40.0%	-40.0%	-34.3%	-34.3%	-40.0%	-40.0%	-34.3%	-34.3%	-40.0%
Total OP	61,621	103,515	37,876	78,823	86,451	105,911	114,155	105,191	129,855	162,017	187,156	192,963	220,772	238,568	278,992	272,039
yoy % chg																

Figure 13: Profit and Loss Statement

FY	FY2024	FY2025	FY2026	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
JPY mn								
Revenue	1,645,158	1,743,552	1,830,858	1,933,876	2,051,582	2,173,708	2,318,385	1,685,522
COGS	1,030,381	1,026,650	1,059,030	1,133,897	1,195,592	1,231,335	1,337,325	1,483,025
Gross Profit	614,777	717,702	771,828	800,799	855,990	942,373	981,060	202,497
S&A	243,193	277,681	298,647	284,000	298,000	298,000	300,000	320,000
R&D	132,502	146,274	159,870	168,000	200,000	240,000	280,000	320,000
Other Income (P/E)	7,200	16,494	17,513	8,000	8,000	8,000	8,000	8,000
Other Expense (P/E)	52,549	27,539	55,987	4,000	4,000	4,000	4,000	4,000
Operating Profit	216,447	279,102	281,835	317,799	377,990	410,373	418,060	187,198
Financial Income and Expenses	23,526	24,493	26,793	10,000	10,000	10,000	10,000	10,000
Foreign Exchange Gain/Loss	331	190	215	0	0	0	0	0
Equity method Income	0	0	0	0	0	0	0	0
Others	0	0	0	0	0	0	0	0
Profit Before Tax	239,404	304,284	308,643	327,799	387,990	420,373	428,060	197,198
Corporate Income Tax	66,009	71,431	74,862	105,427	170,458	255,093	319,240	384,299
Minority Interest	-502	-545	-139	-400	-800	-800	-800	-800
Net Income	168,588	233,818	233,602	317,982	512,692	765,078	968,020	1,183,098
Tax Rate	24.67%	23.47%	24.26%	25.00%	25.00%	25.00%	25.00%	25.00%
% to Sales								
Gross Profit	61.2%	58.8%	57.7%	56.9%	52.8%	44.4%	41.9%	39.9%
S&A	14.8%	15.9%	16.2%	14.2%	12.3%	12.3%	12.3%	12.3%
R&D	23.9%	26.0%	25.1%	20.6%	17.9%	13.4%	12.3%	12.3%
Operating Profit	13.1%	16.0%	15.4%	20.7%	28.6%	36.4%	39.7%	42.7%
Net Profit	11.0%	13.4%	12.8%	15.9%	21.8%	27.6%	30.1%	32.9%
Y/Y Analysis								
Revenue	-7.9%	6.2%	5.0%	8.8%	17.8%	17.5%	14.9%	14.5%
Gross Profit	-7.8%	12.7%	7.9%	10.9%	34.4%	33.2%	20.1%	19.0%
S&A	-4.1%	14.1%	6.3%	-4.2%	1.4%	2.7%	4.0%	3.0%
R&D	-27.6%	28.6%	0.7%	-60.8%	63.2%	63.3%	25.4%	23.7%
Profit Before Tax	-23.9%	27.1%	1.3%	36.6%	61.7%	49.6%	25.1%	23.5%
Net Profit	-20.7%	29.3%	1.0%	35.5%	61.6%	49.5%	25.1%	23.6%
Pay Share								
Shares Outstanding(hundreds)	1,889,233	1,882,261	1,820,262	1,790,262	1,790,262	1,790,262	1,790,262	1,790,262
Fully Diluted	1,889,233	1,882,261	1,820,262	1,790,262	1,790,262	1,790,262	1,790,262	1,790,262
Shares Outstanding	1,827,443	1,863,022	1,863,022	1,863,022	1,863,022	1,863,022	1,863,022	1,863,022
Treasury Shares	138,210	100,641	142,710	142,710	142,710	142,710	142,710	142,710
EPS (JPY)	90	126	129	177	286	428	541	661
Fully Diluted	90	126	129	177	286	428	541	661
EPS (JPY)	90	126	129	177	286	428	541	661
Fully Diluted	90	126	129	177	286	428	541	661
EPS (JPY)	90	126	129	177	286	428	541	661
Fully Diluted	90	126	129	177	286	428	541	661
EPS (JPY)	90	126	129	177	286	428	541	661
Fully Diluted	90	126	129	177	286	428	541	661
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Fully Diluted	90	126	129	177	286	428	541	661
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Fully Diluted	90	126	129	177	286	428	541	661
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Fully Diluted	90	126	129	177	286	428	541	661
EPS (JPY)	90	126	129	177	286	428	541	661
Fully Diluted	90	126	129	177	286	428	541	661
EPS (JPY)	90	126	129	177	286	428	541	661
Fully Diluted	90	126	129	177	286	428	541	661
EPS (JPY)	90	126	129	177	286	428	541	661
Fully Diluted	90	126	129	177	286	428	541	661
EPS (JPY)	90	126	129	177	286	428	541	661
Fully Diluted	90	126	129	177	286	428	541	661
EPS (JPY)	90	126	129	177	286	428	541	661
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EPS (JPY)	90	126	129	177	286	428	541	661

Figure 14: Balance Sheet

FY JPY mn	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2030E	FY3/2031E	FY3/2025	2Q	3Q	4Q	FY3/2026	1Q	2Q	3Q	4Q
Assets																						
Cash and Cash Equivalents	279,101	376,160	450,796	568,441	493,253	641,539	675,833	677,886	577,306	695,346	988,634	1,167,468	1,329,898	563,216	594,693	603,148	675,833	557,139	612,880	624,214	677,886	677,886
Accounts Receivable	274,109	281,032	340,871	358,310	270,618	292,736	294,419	328,159	357,325	421,493	497,154	571,462	657,126	306,451	311,565	332,726	294,419	290,913	337,484	338,986	328,159	328,159
Inventories	349,315	334,408	361,331	464,723	575,026	513,024	482,833	520,472	566,730	668,503	788,504	906,359	1,042,226	514,434	485,065	489,762	482,833	489,202	488,608	501,149	520,472	520,472
Other Current Assets	31,416	35,627	31,182	43,732	69,193	52,463	44,850	54,876	54,876	54,876	54,876	54,876	54,876	81,244	53,823	54,537	44,850	70,369	57,299	51,886	54,876	54,876
Total Current Assets	933,941	1,027,227	1,184,180	1,435,206	1,408,090	1,499,762	1,497,935	1,581,393	1,556,236	1,840,218	2,329,168	2,700,165	3,084,127	1,465,345	1,445,146	1,480,173	1,497,935	1,407,623	1,496,271	1,516,235	1,581,393	1,581,393
Tangible Fixed Assets	856,453	1,002,210	1,078,838	1,116,602	1,188,198	1,184,808	1,183,727	1,300,883	1,372,883	1,452,883	1,552,883	1,652,883	1,752,883	1,205,050	1,177,534	1,203,870	1,183,727	1,175,765	1,189,513	1,257,853	1,300,883	1,300,883
Investments and Other Assets	258,499	220,793	199,243	257,363	276,475	353,525	346,532	316,823	316,823	316,823	316,823	316,823	316,823	366,351	347,457	368,625	346,532	349,395	354,563	317,428	316,823	316,823
Total Investments	66,697	49,059	41,438	34,618	39,248	47,433	40,489	50,392	50,392	50,392	50,392	50,392	50,392	49,679	47,032	48,500	40,489	43,827	48,200	48,813	50,392	50,392
Deferred Tax Assets	42,065	42,220	37,796	26,562	42,952	47,454	52,675	60,424	60,424	60,424	60,424	60,424	60,424	48,814	51,588	50,428	52,675	55,995	53,781	52,352	60,424	60,424
Right of use asset	0	0	0	0	0	59,402	64,204	59,563	59,563	59,563	59,563	59,563	59,563	60,653	58,309	65,369	64,204	63,819	63,476	64,020	59,563	59,563
Intangible Assets	47,526	38,576	33,524	47,141	39,375	39,049	40,647	36,234	36,234	36,234	36,234	36,234	36,234	39,340	38,206	39,221	40,647	40,297	40,261	40,646	36,234	36,234
Goodwill	78,389	73,032	71,058	116,014	123,247	137,144	135,746	99,489	99,489	99,489	99,489	99,489	99,489	144,681	130,925	141,916	135,746	133,276	135,528	96,220	99,489	99,489
Other non current asset	23,822	17,906	15,427	31,028	31,653	23,043	12,771	10,721	10,721	10,721	10,721	10,721	10,721	23,184	21,397	23,181	12,771	12,181	12,317	13,377	10,721	10,721
Total Non Current Assets	1,114,952	1,223,003	1,278,081	1,373,965	1,464,673	1,538,133	1,530,259	1,617,706	1,689,706	1,769,706	1,869,706	1,969,706	2,069,706	1,571,401	1,524,991	1,572,495	1,530,259	1,525,160	1,544,076	1,575,281	1,617,706	1,617,706
Total Assets	2,048,893	2,250,230	2,462,261	2,809,171	2,872,763	3,037,895	3,028,194	3,199,099	3,245,942	3,609,924	4,198,874	4,669,871	5,153,833	3,036,746	2,970,137	3,052,668	3,028,194	2,932,783	3,040,347	3,091,516	3,199,099	3,199,099
Liabilities and Equity																						
Accounts Payable	75,491	79,330	85,927	93,842	65,597	67,820	69,617	79,798	85,680	90,344	93,045	101,054	110,552	68,133	65,702	68,732	69,617	67,751	75,471	72,040	79,798	79,798
Short-term debt	23,007	51,000	40,079	0	120,391	106,516	49,847	58,871	58,871	58,871	58,871	58,871	58,871	94,640	39,429	47,340	49,847	47,550	33,932	90,898	58,871	58,871
Accrued expense	122,958	118,985	143,425	161,813	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued Taxes	38,315	28,294	41,525	29,228	14,184	26,966	30,952	43,182	43,182	43,182	43,182	43,182	43,182	25,901	41,365	42,999	30,952	23,142	38,271	37,273	43,182	43,182
Lease Liabilities	0	6,691	6,955	6,375	6,329	6,926	10,043	10,764	10,764	10,764	10,764	10,764	10,764	9,521	8,974	9,467	10,043	10,336	10,159	10,225	10,764	10,764
Deferred Income	0	0	0	0	0	883	883	1,412	1,412	1,412	1,412	1,412	1,412	883	882	883	883	882	883	883	1,412	1,412
Deferred Tax Liabilities	0	0	0	0	2,859	1,529	2,170	3,069	3,069	3,069	3,069	3,069	3,069	1,579	1,739	2,184	2,170	2,060	1,464	2,209	3,069	3,069
Others	0	0	0	0	93,637	104,847	113,005	119,389	119,389	119,389	119,389	119,389	119,389	83,235	101,061	91,230	113,005	89,395	111,021	91,293	119,389	119,389
Total Current Liabilities	259,771	284,300	317,911	321,258	303,597	317,617	276,517	316,485	322,367	327,031	329,732	337,741	347,239	283,892	259,152	262,835	276,517	241,116	271,201	304,821	316,485	316,485
L/T Debts	100,407	149,971	110,625	110,979	51,464	6,567	6,399	2,650	2,650	2,650	2,650	2,650	2,650	6,421	5,783	4,933	6,399	5,775	5,452	2,434	2,650	2,650
Operating Lease Liabilities	0	28,408	25,051	25,627	32,626	43,848	47,513	41,743	41,743	41,743	41,743	41,743	41,743	44,740	41,796	48,835	47,513	47,526	47,217	47,601	41,743	41,743
Deferred Revenue	-	-	-	-	-	20,387	19,131	22,137	22,137	22,137	22,137	22,137	22,137	20,175	19,710	19,543	19,131	18,743	18,640	18,421	22,137	22,137
Deferred Tax Liabilities	6,673	5,644	7,603	13,233	10,601	10,946	12,081	10,041	10,041	10,041	10,041	10,041	10,041	11,755	11,202	13,560	12,081	10,979	11,176	10,483	10,041	10,041
Retirement Benefit Liabilities	75,789	84,602	74,005	64,566	63,261	70,679	74,834	72,274	72,274	72,274	72,274	72,274	72,274	71,669	72,069	72,914	74,834	76,345	77,176	78,159	72,274	72,274
Allowance	1,713	2,498	5,421	9,586	51,272	4,208	4,309	6,414	6,414	6,414	6,414	6,414	6,414	8,434	8,655	8,543	7,435	7,250	7,042	10,300	9,545	9,545
Others	-	-	-	-	-	-	-	-	-	-	-	-	-	4,491	4,135	4,536	4,309	6,977	6,253	6,635	6,414	6,414
Total Non Current Liabilities	184,582	271,123	222,705	224,001	209,224	164,669	171,702	164,804	164,804	164,804	164,804	164,804	164,804	167,685	163,340	172,864	171,702	173,595	172,956	174,033	164,804	164,804
Minority Interests	564	703	840	316	-35	-538	-830	-933	-1,733	-2,533	-3,333	-4,133	-4,933	-678	-1,333	-685	-830	-968	-932	-885	-933	-933
Capital Stock	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444
Capital Surplus	120,702	120,775	120,880	121,004	121,116	121,231	99,354	100,177	100,177	100,177	100,177	100,177	100,177	102,021	99,619	99,098	99,354	99,601	99,708	99,962	100,177	100,177
Retained Earnings	1,493,697	1,616,783	1,786,660	2,024,368	2,246,258	2,332,018	2,400,684	2,528,540	2,720,301	3,090,419	3,667,468	4,331,256	5,406,519	2,326,366	2,301,879	2,375,218	2,400,684	2,394,527	2,477,225	2,448,451	2,528,540	2,528,540
Treasury Shares	-53,594	-53,563	-53,552	-53,538	-133,494	-133,441	-135,192	-235,052	-385,052	-385,052	-385,052	-385,052	-1,185,052	-143,179	-142,279	-135,191	-135,192	-172,564	-212,000	-235,048	-235,052	-235,052
Other Equity	-26,273	-59,335	-2,627	102,318	56,653	166,895	146,515	255,634	255,634	255,634	255,634	255,634	255,634	231,195	130,315	209,085	146,515	128,032	162,745	230,738	255,634	255,634
Shareholder's Equity	1,603,976	1,694,104	1,920,805	2,263,596	2,359,977	2,556,147	2,580,805	2,718,743	2,760,504	3,120,622	3,707,671	4,171,459	4,646,722	2,585,847	2,548,978	2,617,654	2,580,805	2,519,040	2,597,122	2,613,547	2,718,743	2,718,743
Total Liabilities and Equity	2,048,893	2,250,230	2,462,261	2,809,171	2,872,763	3,037,895	3,028,194	3,199,099	3,245,942	3,609,924	4,198,874	4,669,871	5,153,833	3,036,746	2,970,137	3,052,668	3,028,194	2,932,783	3,040,347	3,091,516	3,199,099	3,199,099
FY JPY mn	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2030E	FY3/2031E	FY3/2025	2Q	3Q	4Q	FY3/2026	1Q	2Q	3Q	4Q
Debt with interest	123,414	200,971	150,704	110,979	171,855	113,083	56,246	61,521	61,521	61,521	61,521	61,521	61,521	101,061	45,212	52,273	56,246	53,325	39,3			

Figure 15: Cash Flow Statement

FY	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2030E	FY3/2031E
JPY mn													
Net Income	206,930	183,012	237,057	314,124	253,690	180,838	233,818	233,920	317,082	512,293	766,078	958,520	1,183,698
Minority Interest	29	-30	-32	-245	-295	-502	-845	-139	-800	-800	-800	-800	-800
Depreciation	124,359	140,267	143,074	155,583	161,276	175,873	173,365	178,212	178,000	220,000	260,000	300,000	340,000
Change in Working Capital	-93,874	11,823	-80,165	-112,916	-50,856	41,907	30,505	-61,198	-69,542	-161,277	-192,961	-184,154	-212,033
Change in Other Current Assets	17,307	-11,514	42,380	22,961	-135,268	42,602	21,185	10,737	0	0	0	0	0
CAPEX	-291,581	-281,599	-196,660	-152,786	-208,111	-219,531	-180,471	-247,778	-250,000	-300,000	-360,000	-400,000	-440,000
Change in Investments	20,591	17,638	7,621	6,820	-4,630	-8,185	6,944	-9,903	0	0	0	0	0
Change in Intangible assets	5,346	14,307	7,026	-60,573	2,533	-13,571	-200	40,670	0	0	0	0	0
Change in Other Fixed Assets	4,020	42,738	-2,169	-3,425	27,723	-54,952	7,450	-4,207	0	0	0	0	0
FCF	-6,873	116,642	158,132	169,543	46,062	144,479	291,751	140,314	174,740	270,215	472,317	673,566	870,865
Change in Interest Bearing Debt	109,172	77,557	-50,267	-39,725	60,876	-58,772	-56,837	5,275	0	0	0	0	0
Dividends	-59,499	-62,060	-73,579	-83,178	-94,459	-98,240	-106,155	-118,319	-125,320	-152,175	-179,029	-194,732	-208,435
Treasury Stock	2	31	11	14	-79,956	53	-1,751	-99,860	-150,000	0	0	-300,000	-500,000
CF from Other Financial Activities	-57	-30,855	63,212	111,831	17,106	113,519	-101,254	122,197	0	0	0	-0	0
CF	42,745	101,315	97,509	158,485	-50,371	101,039	25,754	49,607	-100,580	118,040	293,288	178,834	162,430
Cash and Cash Equivalents	279,101	376,160	450,796	568,441	493,253	641,539	675,833	677,886	577,306	695,346	988,634	1,167,468	1,329,898
ROE	13.52%	11.10%	13.12%	15.01%	10.97%	7.36%	9.10%	8.83%	11.57%	17.42%	22.44%	24.33%	26.85%
ROA	10.76%	8.51%	10.06%	11.92%	8.93%	6.12%	7.71%	7.51%	9.84%	14.94%	19.62%	21.62%	24.10%
Total Asset Turnover	0.82	0.71	0.69	0.69	0.59	0.55	0.57	0.59	0.62	0.69	0.71	0.72	0.75
Equity Ratio	78.29%	75.29%	78.01%	80.58%	82.15%	84.14%	85.23%	84.98%	85.04%	86.45%	88.30%	89.33%	90.16%
DuPont System													
ROE	13.52%	11.10%	13.12%	15.01%	10.97%	7.36%	9.10%	8.83%	11.57%	17.42%	22.44%	24.33%	26.85%
Net Profit Margin	13.14%	11.93%	14.54%	17.33%	15.04%	11.03%	13.41%	12.78%	15.91%	21.79%	27.62%	30.06%	32.29%
Total Asset Turnover	0.82	0.71	0.69	0.69	0.59	0.55	0.57	0.59	0.62	0.69	0.71	0.72	0.75
Financial Leverage Ratio	1.28	1.33	1.28	1.24	1.22	1.19	1.17	1.18	1.18	1.16	1.13	1.12	1.11

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Murata Manufacturing (6981) *(Overweight; Price Target: ¥15,200)*

Investment Thesis

Demand for MLCCs used in AI server applications has expanded rapidly, and we expect this to lead to tight supply/demand conditions for MLCCs in general from FY2026. We therefore expect the pace of MLCC price declines to slow from 2H FY2026. We expect stabilization of prices, increased demand in AI server applications, and mix improvement to accelerate earnings momentum through FY2027.

Valuation

We base our December 2026 price target of ¥15,200 on our FY2029 EPS estimate of ¥541 and a P/E of 28x, derived from the Bloomberg consensus-based sector average P/E of 20x as of June 10 and the stock's sector-relative P/E of 1.4x based on Bloomberg consensus estimates during the two previous MLCC cycle peaks in 2017–18 and 2020–21.

Risks to Rating and Price Target

Upside Scenario to Target Price/Rating

- Market share gains in RF FEM for major smartphone makers
- An earlier-than-expected end to automotive MLCC inventory reductions
- MLCC price hikes go through

Downside Scenario to Target Price/Rating

- Loss of RF FEM market share
- Battery business losses widen again
- Tight MLCC supply/demand conditions are prolonged
- End demand is weaker than expected due to tight memory supply/demand or other factors
- AI cycle peaks out

Murata Manufacturing (6981): Summary of Financials

Income Statement					Cash Flow Statement				
	2026/3A	2027/3E	2028/3E	2029/3E		2026/3A	2027/3E	2028/3E	2029/3E
Revenue	1,830,856	1,993,576	2,351,582	2,773,708	Cash flow from operating activities	357,325	424,740	570,215	832,317
COGS	(1,056,030)	(1,133,867)	(1,195,592)	(1,231,336)	o/w Depreciation & amortization	178,212	178,000	220,000	260,000
Gross profit	774,826	859,709	1,155,990	1,542,371	o/w Changes in working capital	(61,198)	(69,542)	(161,277)	(192,961)
SG&A	(296,647)	(284,000)	(288,000)	(296,000)	Cash flow from investing activities	(217,011)	(250,000)	(300,000)	(360,000)
EBITDA	460,047	589,709	891,990	1,270,371	o/w Capital expenditure	(247,778)	(250,000)	(300,000)	(360,000)
D&A	(178,212)	(178,000)	(220,000)	(260,000)	as % of sales	13.5%	12.5%	12.8%	13.0%
EBIT	281,835.0	411,708.9	671,990.2	1,010,371.1	Cash flow from financing activities	(90,707)	(275,320)	(152,175)	(179,029)
Net Interest	29,982	10,000	10,000	10,000	o/w Dividends paid	(118,319)	(125,320)	(152,175)	(179,029)
PBT	308,643.0	421,708.9	681,990.2	1,020,371.1	o/w Shares issued/(repurchased)	(99,860)	(150,000)	0	0
Tax	(74,862)	(105,427)	(170,498)	(255,093)	o/w Net debt issued/(repaid)	5,275	0	0	0
Minority Interest	139	800	800	800	Net change in cash	49,607	(100,580)	118,040	293,288
Net Income	233,920	317,082	512,293	766,078	Adj. Free cash flow to firm	109,547	167,240	262,715	464,817
Reported EPS	128.5	177.1	286.2	427.9	y/y Growth	-58.8%	52.7%	57.1%	76.9%
DPS	65.00	70.00	85.00	100.00					
Payout ratio	50.6%	39.5%	29.7%	23.4%					
Shares outstanding	1,820	1,790	1,790	1,790					

Balance Sheet					Ratio Analysis				
	2026/3A	2027/3E	2028/3E	2029/3E		2026/3A	2027/3E	2028/3E	2029/3E
Cash and cash equivalents	677,886.0	577,305.6	695,346.0	988,634.3	Gross margin	42.3%	43.1%	49.2%	55.6%
Accounts receivable	328,159	357,325	421,493	497,154	EBITDA margin	25.1%	29.6%	37.9%	45.8%
Inventories	520,472	566,730	668,503	788,504	EBIT margin	15.4%	20.7%	28.6%	36.4%
Other current assets	903,507	978,930	1,144,872	1,340,534	Net profit margin	12.8%	15.9%	21.8%	27.6%
Current assets	1,581,393	1,556,236	1,840,218	2,329,168	ROE	8.8%	11.6%	17.4%	22.4%
PP&E	1,300,883	1,372,883	1,452,883	1,552,883	ROA	7.5%	9.8%	14.9%	19.6%
LT investments	-	-	-	-	ROCE	7.9%	11.0%	16.8%	21.8%
Other non current assets	316,823	316,823	316,823	316,823	SG&A/Sales	16.2%	14.2%	12.2%	10.7%
Total assets	3,199,099	3,245,942	3,609,924	4,198,874	Net debt/Equity	NM	NM	NM	NM
Short term borrowings	58,871	58,871	58,871	58,871	Net debt/EBITDA	NM	NM	NM	NM
Payables	79,798	85,680	90,344	93,045	Sales/Assets (x)	0.6	0.6	0.7	0.7
Other short term liabilities	177,816	177,816	177,816	177,816	Assets/Equity (x)	1.2	1.2	1.2	1.1
Current liabilities	316,485	322,367	327,031	329,732	Interest cover (x)	-	NM	NM	NM
Long-term debt	2,650	2,650	2,650	2,650	Operating leverage	15.2%	518.5%	352.0%	280.5%
Other long term liabilities	40,746	40,746	40,746	40,746	Tax rate	24.3%	25.0%	25.0%	25.0%
Total liabilities	481,289	487,171	491,835	494,536	Revenue y/y Growth	5.0%	8.9%	18.0%	18.0%
Shareholders' equity	2,718,743.0	2,760,504.2	3,120,622.0	3,707,671.1	EBITDA y/y Growth	1.5%	28.2%	51.3%	42.4%
Minority interests	(933)	(1,733)	(2,533)	(3,333)	EPS y/y growth	2.4%	37.8%	61.6%	49.5%
Total liabilities & equity	3,199,099	3,245,942	3,609,924	4,198,874					

BVPS					Valuation				
	2026/3A	2027/3E	2028/3E	2029/3E		2026/3A	2027/3E	2028/3E	2029/3E
y/y Growth	7.8%	3.3%	13.1%	18.8%	P/E (x)	66.6	48.3	29.9	20.0
Net debt/(cash)	(616,365)	(515,785)	(633,825)	(927,113)	P/BV (x)	5.7	5.5	4.9	4.1
					EV/EBITDA (x)	9.5	26.8	17.6	12.1
					Dividend Yield	0.8%	0.8%	1.0%	1.2%

Source: Company reports and J.P. Morgan estimates.

Note: ¥ in millions (except per-share data). Fiscal year ends Mar. o/w - out of which

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Murata Manufacturing (6981) (6981.T, 6981 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
16-Aug-23	OW	2691	3,267
03-Oct-23	OW	2732	3,266.667
24-Jan-24	OW	3112	3,500
22-Jul-25	N	2165	2,200
14-Oct-25	N	2842	3,100
04-Dec-25	N	3315	3,500
03-Apr-26	OW	3478	4,800
23-Apr-26	OW	4911	7,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 24, 2002. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

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